

FREE SAMPLE

SS1 Economics — Complete Lesson Notes

FREE Sample — First Term, Weeks 1–4

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SS1 ECONOMICS

COMPLETE LESSON NOTES

First Term | Second Term | Third Term

A Comprehensive Student eBook

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PREFACE

This book — SS1 Economics: Complete Lesson Notes — has been written to serve as a comprehensive companion for Senior Secondary School One (SS1) students studying Economics in Nigerian schools. It covers the entire SS1 Economics Scheme of Work across all three terms in a single, well-organised volume.

Economics is one of the most important and practical subjects a student can study. It teaches you to think clearly about CHOICES — what to buy, what to produce, how to use resources, and how societies organise themselves. These are not just classroom questions; they are the questions that determine the wealth or poverty of nations.

Nigeria is a country of enormous potential — the largest economy in Africa, the most populous nation on the continent, and endowed with vast natural and human resources. Yet the average Nigerian continues to struggle. Understanding Economics is a first step toward understanding WHY this gap exists between potential and reality, and what can be done about it.

This book was written with the Nigerian student in mind. The language is simple and direct. Every definition is clear. Every concept is illustrated with relevant Nigerian examples — from the garri seller in Onitsha market to the cattle rancher in Plateau State, from the Central Bank of Nigeria to the Nigerian Exchange Group. Diagrams are provided to make abstract concepts visible.

The book is organised exactly according to the official SS1 Scheme of Work:

Term	Key Topics Covered
First Term	Introduction to Economics; Demand & Supply; Theory of Production; Economic Problems; Firms & Industry; Population; Labour Market
Second Term	The Nigerian Economy; Agriculture; Mining; Financial Institutions; Money; Channels of Distribution; Business Finance; Economic Analysis Tools
Third Term	Cost & Revenue Concepts; Economic Systems; Labour Market (Advanced); Utility Theory; Price Determination; Market Structures; Industries in Nigeria

At the end of each chapter, you will find Review Questions designed to test your understanding and prepare you for class tests, midterm examinations, and the WAEC/NECO Senior School Certificate Examination.

WEEK 1 | MEANING OF ECONOMICS AND RELATED CONCEPTS

1.1 Meaning of Economics

Definition:

Economics is the social science that studies how individuals, households, firms, and governments make choices about the use of scarce resources to satisfy their unlimited wants. It examines how resources are allocated, how goods and services are produced, and how income and wealth are distributed.

In simple terms: Economics is the study of CHOICE under SCARCITY.

DEFINITIONS OF ECONOMICS BY NOTABLE ECONOMISTS

Adam Smith (1776)	Economics is the study of the nature and causes of the wealth of nations — it focuses on how nations create and increase wealth.
Alfred Marshall (1890)	Economics is a study of mankind in the ordinary business of life; it examines that part of individual and social action which is most closely connected with the attainment and use of the material requisites of wellbeing.
Lionel Robbins (1932)	Economics is the science which studies human behaviour as a relationship between ends (unlimited wants) and scarce means (resources) which have alternative uses. This is the most widely accepted modern definition, as it captures both scarcity and choice.
Paul Samuelson (1948)	Economics is the study of how societies choose to use scarce productive resources, with or without money, to produce goods and services and distribute them for consumption among different people and groups.

Notice that all these definitions share a common thread: scarce resources, unlimited wants, and the need to make choices. This is why the modern (Robbins) definition is the one most commonly used today.

1.2 Key Related Concepts

(A) Wants

Wants are the various things people would like to have to improve their standard of living and satisfaction, even though they are not essential for survival — for example, a smartphone, designer clothes, or a new car. Human wants are said to be UNLIMITED (insatiable): as soon

as one want is satisfied, another one arises, and no individual or society has ever been able to satisfy all its wants.

(B) Needs

Needs are the basic necessities of life that a person cannot do without — such as food, shelter, clothing, water, and healthcare. Unlike wants, needs are limited and must be satisfied for survival. Economics is primarily concerned with wants (since needs are a small subset of the wider problem of unlimited wants competing for scarce resources).

(C) Scarcity

Scarcity is the fundamental economic problem. It means that resources available to satisfy human wants are LIMITED, while human wants are UNLIMITED. Because we cannot have everything we want, we must make choices.

Example:

A secondary school student has ₦2,000. She wants to buy a textbook (₦1,500), lunch (₦500), credit (₦300), and a novel (₦400) — total ₦2,700. She cannot afford everything, so she must choose. This is scarcity.

(D) Choice

Because of scarcity, every individual, household, firm, and government must make choices about what to use their limited resources for. Every choice involves giving up something else.

(E) Scale of Preference

A scale of preference is a list of wants arranged in order of priority, from the most urgent to the least urgent. It helps individuals decide which wants to satisfy first when resources are limited.

(F) Opportunity Cost

Opportunity cost is the value of the next best alternative that is sacrificed or given up when a choice is made.

Example: A student uses his ₦2,000 to buy a textbook. The next best thing he would have bought was lunch (₦500 + credit ₦300). Opportunity cost = the lunch and credit he did not buy.

(G) Rational Behaviour

Economists assume that individuals act rationally — they weigh costs and benefits and choose the option that gives them the most satisfaction (consumers) or the highest profit (firms).

1.3 The Three Basic Economic Problems

Problem	Question Asked	Example in Nigeria
What to produce?	Which goods and services should be produced given limited resources?	Should Nigeria use its land to grow cassava or rice? Build roads or schools?
How to produce?	Which methods and combination of factors should be used in production?	Should garri be made by hand (labour-intensive) or by machine (capital-intensive)?
For whom to produce?	Who should receive the goods and services that are produced?	Should government electricity go to industries or households first?

1.4 Branches of Economics

Branch	Definition	Example
Microeconomics	Studies individual economic units — consumers, firms, and markets.	How does the price of petrol affect transport costs in Lagos?
Macroeconomics	Studies the economy as a whole.	What caused Nigeria's inflation rate to exceed 30% in 2024?
Positive Economics	Studies facts and cause-effect relationships without value judgements.	If petrol price rises by 50%, fuel consumption falls by 15%.
Normative Economics	Makes value judgements about what SHOULD be done.	The government SHOULD subsidise food prices to reduce poverty.

KEY TERMS & DEFINITIONS

Economics	Study of how scarce resources are allocated among unlimited human wants.
Wants	Things people would like to have but are not essential for survival; human wants are unlimited.
Needs	Basic necessities of life essential for survival, such as food, shelter, and clothing.
Scarcity	Limited resources relative to unlimited human wants.
Choice	Selecting the best option from available alternatives due to scarcity.

Scale of Preference	List of wants arranged in order of priority.
Opportunity Cost	Value of the next best alternative foregone when a choice is made.
Microeconomics	Study of individual economic units — consumers, firms, markets.
Macroeconomics	Study of the economy as a whole — GDP, inflation, unemployment.

Review Questions — Week 1

1. Define Economics and state why scarcity is called the 'basic economic problem'.
2. Distinguish between a scale of preference and opportunity cost, giving an example of each.
3. State and explain the THREE basic economic problems of every society.
4. Differentiate between microeconomics and macroeconomics, giving an example of each.
5. Why must every society make choices? What determines the choices a society makes?

WEEK 2 | BASIC TOOLS OF ECONOMIC ANALYSIS

2.1 Introduction

Economics uses several analytical tools to present and analyse data. These tools help us understand economic relationships clearly and quickly. The main tools are: tables, graphs, charts, and equations.

2.2 Tables

A table is an organised arrangement of data in rows and columns. Tables are used to present economic data clearly, making it easy to compare figures.

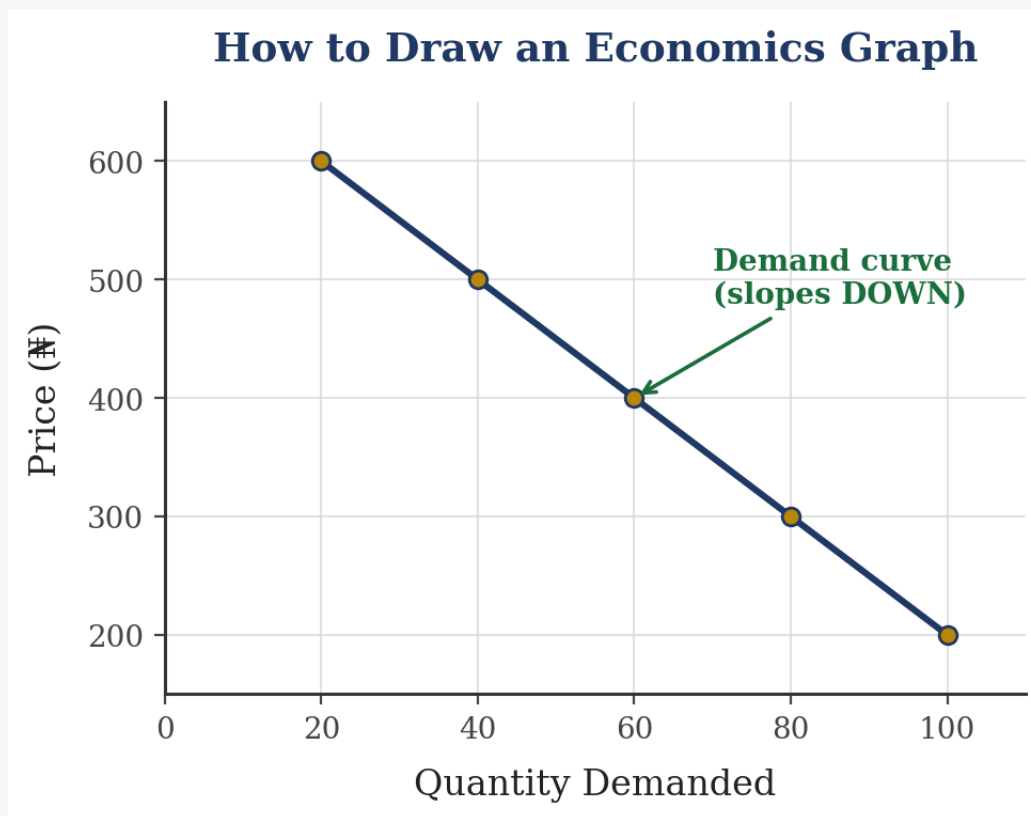
Price of Rice (₦/kg)	Quantity Demanded (kg)	Quantity Supplied (kg)
200	100	30
300	80	50
400	60	70
500	40	90
600	20	110

2.3 Graphs

A graph is a pictorial representation of data using axes. In Economics, we commonly use LINE GRAPHS to show relationships between two variables — most importantly demand and supply curves.

HOW TO DRAW AN ECONOMICS GRAPH

1. Draw the Y-axis (vertical) and X-axis (horizontal)
2. Label the Y-axis: Price (₦)
3. Label the X-axis: Quantity (units)
4. Plot each point from your table
5. Connect the points with a line
6. Give the graph a clear TITLE



2.4 Charts

- Bar chart — uses bars of different heights to compare quantities across categories (e.g. Nigeria's GDP by sector).
- Pie chart — a circle divided into slices representing proportions of a whole (e.g. government spending breakdown).
- Histogram — similar to a bar chart but used for continuous data with no gaps between bars.

2.5 Equations in Economics

Common Economic Equations:

Profit = Total Revenue (TR) – Total Cost (TC)

TR = Price (P) × Quantity (Q)

Average Cost (AC) = Total Cost (TC) ÷ Quantity (Q)

GDP = C + I + G + (X – M)

KEY TERMS & DEFINITIONS	
Table	Data arranged in rows and columns for easy comparison.
Graph	Pictorial representation of data on axes; shows relationships between variables.
Bar Chart	Uses bars of different heights to compare data across categories.
Pie Chart	A circle divided into proportional slices representing parts of a whole.
Equation	A mathematical statement showing relationships between economic variables.
X-axis	The horizontal axis of a graph; usually shows Quantity in Economics.
Y-axis	The vertical axis of a graph; usually shows Price in Economics.

Review Questions — Week 2

1. State THREE economic tools of analysis and explain any TWO.
2. Using the data: Price ₦100 → Qty Demanded 500; ₦200 → 400; ₦300 → 300; ₦400 → 200 — draw a demand schedule and demand curve.
3. What is a pie chart? When is it most appropriate to use one in Economics?
4. State FOUR rules for drawing a good Economics graph.
5. Write the equation for GDP using the expenditure method and explain each component.

WEEK 3 | CONCEPT OF DEMAND AND SUPPLY

3.1 Demand

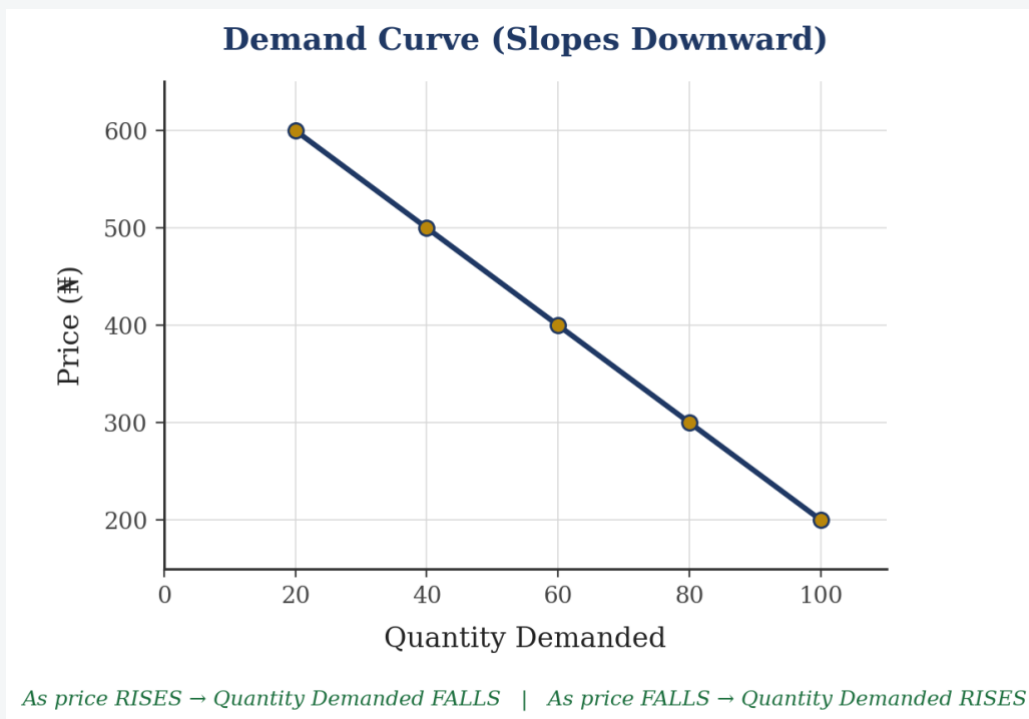
Definition:

Demand is the quantity of a good or service that consumers are **WILLING** and **ABLE** to buy at various prices during a given period, all other things being equal (*ceteris paribus*). Note: wanting is **NOT** enough — there must be both willingness **AND** ability to pay.

Law of Demand

The Law of Demand states that, all other things being equal, as the price of a good rises, the quantity demanded falls; and as price falls, quantity demanded rises. Price and quantity demanded move in **OPPOSITE** directions.

DEMAND CURVE (Slopes Downward)



As price RISES → Qty Demanded FALLS
As price FALLS → Qty Demanded RISES

Factors That Shift the Demand Curve

- Income — rise in income increases demand for normal goods (shifts curve RIGHT).
- Price of related goods — rise in price of a substitute good increases demand for this good.
- Tastes and preferences — change in fashion/taste shifts demand.
- Population — larger population increases total demand.
- Expectations — if prices expected to rise, demand increases now.
- Advertising — successful advertising shifts demand curve right.

3.2 Supply

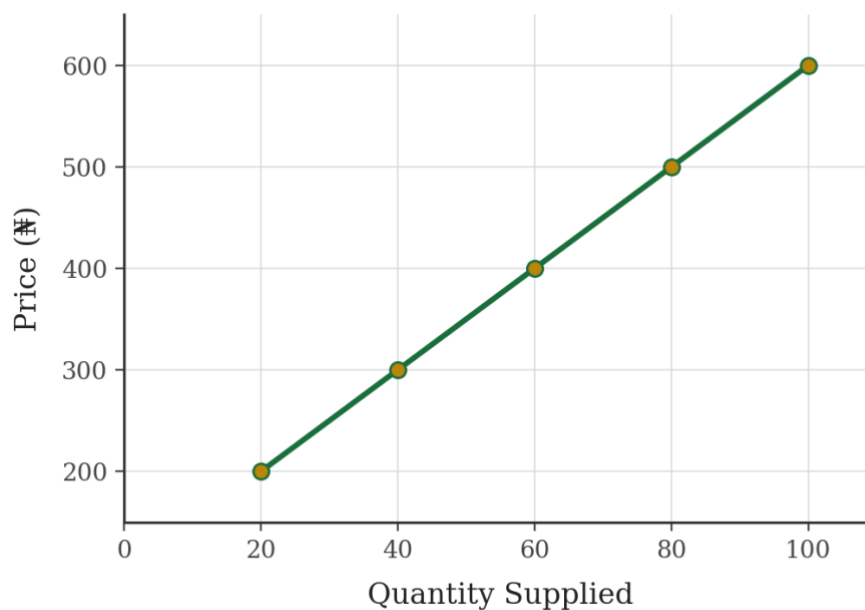
Definition:

Supply is the quantity of a good or service that producers are **WILLING** and **ABLE** to offer for sale at various prices during a given period, all other things being equal.

Law of Supply

As the price of a good rises, quantity supplied rises; as price falls, quantity supplied falls. Price and quantity supplied move in the **SAME** direction.

Supply Curve (Slopes Upward)



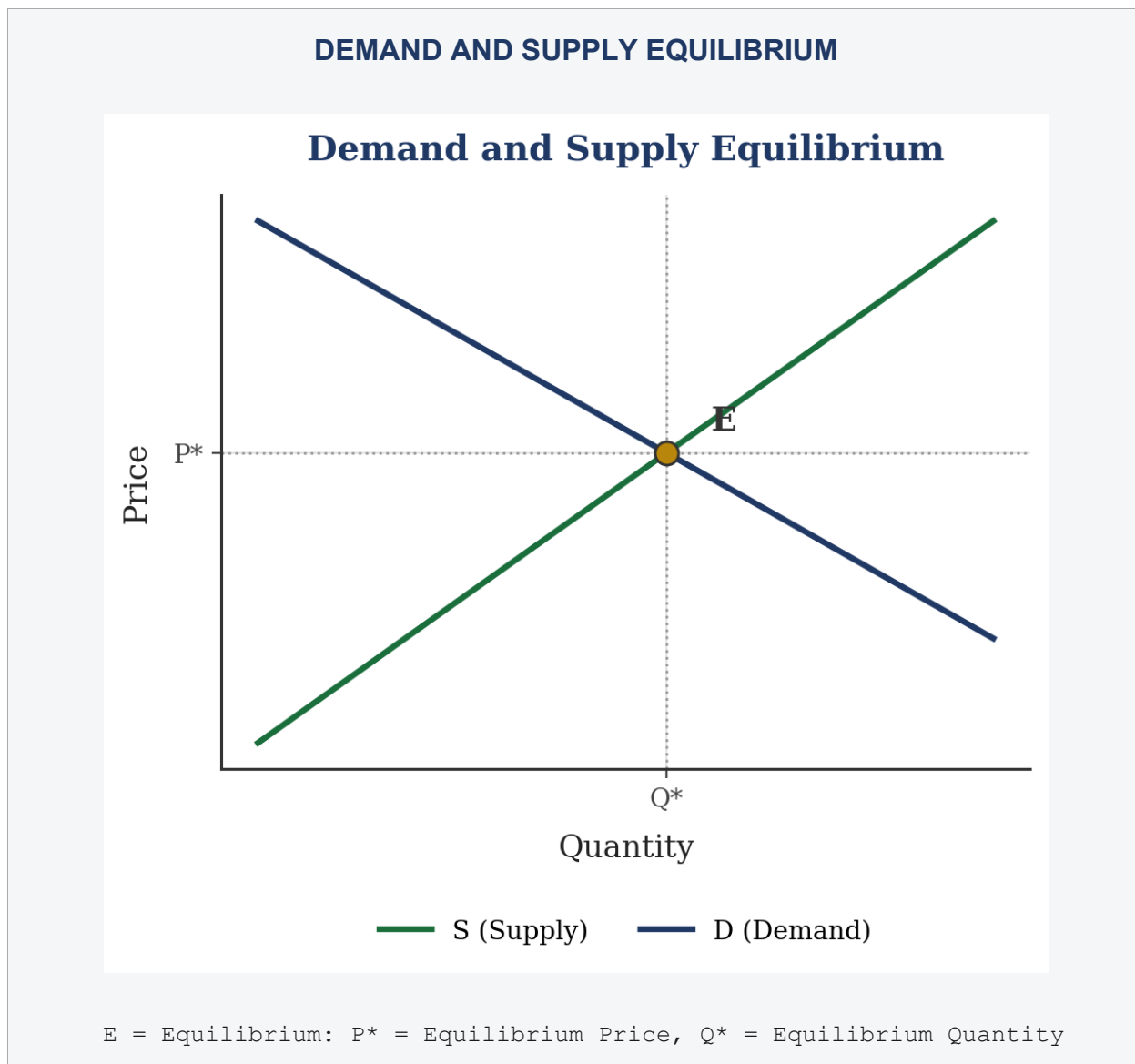
As price RISES → Quantity Supplied RISES | As price FALLS → Quantity Supplied FALLS

Factors That Shift the Supply Curve

- Cost of production — rising costs shift supply LEFT (less supplied at same price).
- Technology — improved technology shifts supply RIGHT.
- Number of producers — more producers in the market increases supply.
- Government policy — subsidies shift supply right; taxes shift supply left.
- Natural conditions — good weather increases agricultural supply; drought decreases it.

3.3 Market Equilibrium

Equilibrium is reached where the demand curve and supply curve INTERSECT. At this price, the quantity demanded equals the quantity supplied — the market clears.



At P^* : Quantity Demanded = Quantity Supplied

KEY TERMS & DEFINITIONS

Demand	Qty a consumer is willing and able to buy at various prices (ceteris paribus).
Supply	Qty a producer is willing and able to sell at various prices (ceteris paribus).
Law of Demand	Price $\uparrow$ $\rightarrow$ Qty Demanded $\downarrow$; Price $\downarrow$ $\rightarrow$ Qty Demanded $\uparrow$.
Law of Supply	Price $\uparrow$ $\rightarrow$ Qty Supplied $\uparrow$; Price $\downarrow$ $\rightarrow$ Qty Supplied $\downarrow$.
Equilibrium	The point where quantity demanded equals quantity supplied.
Ceteris Paribus	A Latin phrase meaning 'all other things being equal or held constant'.
Substitute Good	A good that can replace another (e.g. butter and margarine).
Complementary Good	A good used together with another (e.g. bread and butter).

Review Questions — Week 3

1. Define demand and state the Law of Demand.
2. Draw a demand curve and explain why it slopes downward.
3. State FIVE factors that can cause the demand curve to shift to the right.
4. Distinguish between a movement along a supply curve and a shift of the supply curve.
5. Explain how equilibrium price is determined in a free market, using a diagram.

WEEK 4 | THEORY OF PRODUCTION

4.1 Meaning of Production

Production is the process of creating goods and services to satisfy human wants. Production is NOT limited to manufacturing — it includes any activity that creates utility (satisfaction).

Types of Production

Type	Meaning	Example
Primary Production	Direct extraction of natural resources	Farming, fishing, mining, forestry
Secondary Production	Converting raw materials into finished goods	Cement making, garri processing, tailoring
Tertiary Production	Providing services that support primary and secondary	Banking, transport, teaching, healthcare

4.2 Factors of Production

Factors of production are the resources used to create goods and services. There are FOUR main factors:

Factor	Definition	Reward
Land	All natural resources — soil, water, minerals, climate, forests	Rent
Labour	Human physical and mental effort applied in production	Wages / Salary
Capital	Man-made resources used to produce other goods — machines, factories, tools, money	Interest
Enterprise	The skill and risk-taking ability that organises the other three factors	Profit

4.3 Importance of Each Factor

Land

- Nigeria is blessed with fertile agricultural land, mineral deposits (oil, coal, tin), and extensive forests.
- Land is the primary factor — without it, nothing can be produced.
- Its quality, fertility, and location determine its productivity.

Labour

- Nigeria has one of Africa's largest labour forces — a major potential advantage.
- Quality of labour depends on education, training, health, and motivation.
- Distinction: Unskilled labour (manual, no training), semi-skilled (some training), skilled (highly trained professionals).

Capital

- Capital increases the productivity of labour — a factory worker with machines produces far more than one working by hand.
- Capital is created by SAVING and INVESTING — not consuming all current income.
- Types: Fixed capital (machines, buildings); circulating capital (raw materials, fuel).

Enterprise

- The entrepreneur brings together land, labour, and capital and takes the RISK of production.
- If the business succeeds, the entrepreneur earns PROFIT; if it fails, they bear the LOSS.
- Nigeria has a strong entrepreneurial culture (market women, SME owners, startups).

KEY TERMS & DEFINITIONS	
Production	Creating goods and services to satisfy human wants.
Land	Natural resources used in production; rewarded with rent.
Labour	Human effort in production; rewarded with wages.
Capital	Man-made productive resources; rewarded with interest.
Enterprise	Risk-taking organisational skill; rewarded with profit.
Primary Production	Extraction of natural resources.
Secondary Production	Manufacturing/processing of raw materials.
Tertiary Production	Provision of services.

Review Questions — Week 4

1. Define production and explain why it includes more than just manufacturing.
2. List and explain the THREE types of production with Nigerian examples.
3. State and explain the FOUR factors of production and the reward for each.
4. Why is enterprise considered a special factor of production?
5. Explain why capital is important for increasing labour productivity in Nigeria.

Enjoying the preview?

This sample covers only the introduction. The full “SS1 Economics — Complete Lesson Notes” includes the complete step-by-step system, cost breakdowns, charts and templates you need.

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